I want to speak today about debt markets and associated derivatives; why we need them to be deep and liquid, why, in addition to central and state governments, we need riskier firms and projects to be able to access the bond markets for funds, why we need to encourage product innovation, and finally the dilemmas that regulators like the RBI face. In the process, I hope to touch on some of our recent successes, as well as failures, and our ambitions for the future.

There are three important reasons why debt markets have become a lot more attractive in recent months. First, we finally have a framework that commits us to low and stable inflation. Yes, July's inflation reading was a high 6.07 per cent, but I have no doubt that inflation will fall in the months ahead. The key point is that market participants know that the Monetary Policy Committee has to maintain low and stable inflation, certainly over the next five years for which its remit has been set, and it will do what it takes. This lowers the inflation risk premium, and thus reduces the nominal fixed interest rate for everyone, from the government to the riskiest borrower. In this regard, I am confident that Dr Urjit Patel, who has worked closely with me on monetary policy for the last three years, will ably guide the Monetary Policy Committee going forward in achieving our inflation objectives.

A second development has been the reluctance of public sector banks (PSBs) to lend, and together with private sector banks, the reluctance to fully pass through past policy rate cuts into bank lending rates. Short-term market rates, however, have seen full pass-through. No wonder highly rated firms are bypassing banks to borrow from the commercial paper (CP) markets, with outstanding commercial paper having more than doubled in the last two years to over 3 lakh crores.

But what of lower rated firms? Unfortunately, the difficulty of debt recovery in India has meant that credit spreads are wider than